

out there in a similar manner. There are three broad classifications according to asset type – debt, equity and gold. Within each there are divisions that club similar schemes into groups.

Debt funds

Debt funds buy debt papers issued by either the government or firms, or both. What is a debt paper? While there are many kinds of debt papers in the market, we need to understand the basic function of a debt paper – let's call it a bond.

A company needs money for both short-term and long-term needs. It issues bonds. A bond will pay a regular interest to the lender, and then at maturity, it will repay the principal – not very different from the FD that we all know and use.

There are different kinds of bonds according to the time that the money is lent for. There are bonds that mature in a day. There are bonds that mature in thirty years. Long-term bonds are mostly issued by the government. Short-term bonds are issued by both government and companies.

Why not buy bonds directly from the company? We do that in the form of company deposits. And those who have burnt their fingers in this product will swear never to invest in them again. Why's that? Because as an individual, it is very difficult to gauge the health of the business and keep a track of it. It is better to let experts take the call.

Also, think about it in this way. You will buy bonds of one or two or maybe three firms. A mutual fund will hold bonds of at least twenty-five to thirty firms. If one of your three bonds does badly, you lose one-third of your portfolio. If the same bond is held by your mutual fund, the hit on your money will be a fraction, since the fund is holding many other bonds.

This is called diversification – we reduce our risk by increasing the number of products we hold. Instead of bonds, our job will then be to choose the right experts from all the mutual funds in the market. And yes, there is a way to do that. But more of that later. We are still learning the alphabet of investing. We'll make words and paragraphs using these lessons later.